

HOUSE BILL 2241

By Hurt

AN ACT to amend Tennessee Code Annotated, Title 57,
relative to hemp derived cannabinoid products.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 57-7-108(a)(1), is amended by deleting the language "two cents (2¢) per milligram" and substituting instead the language "one cent (1¢) per milligram".

SECTION 2. Tennessee Code Annotated, Section 57-7-106(b)(5), is amended by deleting the subdivision.

SECTION 3. Tennessee Code Annotated, Section 57-7-113(a), is amended by deleting the subsection and substituting instead the following:

(a) It is unlawful for a person or entity to ship an HDCP directly to a consumer in this state.

SECTION 4. Tennessee Code Annotated, Section 57-7-102, is amended by adding the following as a new, appropriately designated subdivision:

() "Delivery service":

(A) Includes a technology services company that provides software or an application for connecting customers, retailers, or restaurants to a delivery driver; and

(B) Does not include:

(i) A technology services company that does not employ or contract with delivery drivers but rather provides software or an application that connects licensed retailers with consumers for the

delivery of hemp-derived cannabinoid products from a retailer to a consumer;

(ii) A company that ships hemp-derived cannabinoid products to a retailer;

(iii) A "motor carrier" or "freight forwarder" as those terms are defined in 49 U.S.C. § 13102; or

(iv) An "air carrier" as that term is defined in 49 U.S.C. § 40102;

SECTION 5. Tennessee Code Annotated, Title 57, Chapter 7, is amended by adding the following as new sections:

57-7-119.

(a) Notwithstanding this chapter to the contrary, a licensed retailer may provide consulting services within this state related to hemp derived cannabinoid products and products, merchandise, and supplies that the retailer is authorized to sell under this chapter. A licensed retailer may also supply, sell, deliver, and install products authorized to be sold by the retailer to locations outside of the licensed premises.

(b) A licensed retailer may deliver hemp-derived cannabinoid products to a consumer, and such a delivery does not require the products to be purchased at the physical location of the retailer in a face-to-face transaction. At the point of delivery, the retailer, or agent of the retailer, shall require the consumer to present a valid driver license or other government-issued identification that includes the photograph of the person and confirms the person's age as twenty-one (21) years of age or older. The retailer shall maintain a record of the delivery, including the name of the consumer who placed the order and received the order, the products delivered, the time of delivery, and the place of delivery. A delivery must be made only to the physical address indicated by

the consumer placing the delivery order. The delivery must be documented by a verification of the delivery signed by the recipient.

(c)

(1) Except as otherwise provided in subdivision (c)(3), a delivery service that delivers prepared food from restaurants or food from a retailer to customers as part of the delivery service's business is authorized to deliver sealed packages of hemp-derived cannabinoid products sold by a retailer to the delivery service's customers during the hours that these products may legally be sold if:

(A) The amount of hemp-derived cannabinoid products delivered to a customer is in such an amount to satisfy the customer's order;

(B) At least fifty percent (50%) of the delivery service's gross sales come from the delivery of food products or prepared food;

(C) A delivery service employee who delivers hemp-derived cannabinoid products is twenty-one (21) years of age or older and is licensed pursuant to § 57-7-121;

(D) The delivery service is licensed pursuant to § 57-7-120;

(E) The delivery service has a written agreement with the retailer to serve as the retailer's agent for purposes of delivery of the retailer's hemp-derived cannabinoid products to customers; and

(F) The delivery service and delivery service employee comply with the requirements of subsection (b).

(2) A delivery service described in subdivision (c)(1) may charge a delivery fee to customers or retailers with whom the delivery service has entered into a written agreement as required by subdivision (c)(1)(E). The fee may be based on a percentage of the sales price of the hemp-derived cannabinoid

products being delivered. The delivery service shall not charge a fee that exceeds ten percent (10%) of the price of each hemp-derived cannabinoid product sold. The retailer, and not the delivery service, is responsible for remitting applicable taxes on delivered hemp-derived cannabinoid products. The charging of a delivery fee must not be construed as the delivery service reselling hemp-derived cannabinoid products or having a direct or indirect interest in a retailer.

(3) A delivery service shall not deliver hemp-derived cannabinoid products to a location that is:

(A) Greater than fifty (50) miles from the licensed premises of the retailer from whom the hemp-derived cannabinoid products were purchased; or

(B) In a county that is other than the county in which the retailer is located or a county contiguous to such county.

57-7-120.

(a) The commission shall establish and issue delivery service licenses in accordance with this section. A delivery service license may be issued to a delivery service that delivers or facilitates delivery of prepared food from restaurants or items from a retail store to customers as part of the delivery service's business and seeks to deliver sealed packages of hemp-derived cannabinoid products sold by any retailer licensed under this chapter as part of the delivery service.

(b)

(1) Any person or business entity, including a partnership, limited liability company, or corporation, may apply to the commission for a delivery service license on forms and pursuant to procedures established by the commission.

The commission shall issue delivery service licenses in accordance with this section.

(2)

(A) An applicant must be at least twenty-one (21) years of age to be eligible for a delivery service license and must not have been convicted of a felony involving moral turpitude, within ten (10) years prior to the time the applicant applies for a license.

(B) The commission may issue a delivery service license to a person or business entity, including a partnership, limited liability company, or corporation, that is registered to do business in this state regardless of state residence.

(c) An applicant for a delivery service license shall pay to the commission a one-time, nonrefundable application fee in the amount of three hundred dollars (\$300) when the application is submitted for review. If approved, an additional, annual license fee of one hundred fifty dollars (\$150) is due prior to issuance or renewal of the license.

57-7-121.

(a) A delivery service may use either employees or independent contractors to deliver hemp-derived cannabinoid products. A person delivering products for a delivery service shall comply with the requirements of this section.

(b) A delivery service licensee shall conduct, or have a third party conduct, a state and national criminal history background check on any potential employee or independent contractor that seeks to be licensed pursuant to this section. The background check must include a multistate criminal records locator or other similar commercial nationwide database with validation.

(c) A delivery service licensee shall ensure that each employee or independent contractor who delivers hemp-derived cannabinoid products pursuant to this chapter is licensed pursuant to this section.

(d) A person used or employed by a delivery service licensee to deliver an HDCP must meet the following requirements:

- (1) Be at least twenty-one (21) years of age;
- (2) Have passed a background check conducted pursuant to subsection (b) to ensure the person has not been convicted of a crime involving the sale and distribution of hemp-derived cannabinoid products or controlled substances within the previous seven (7) years and has not been convicted of any felony within the previous five (5) years; and
- (3) Have a valid driver license.

(e) In addition to the annual license fee in § 57-7-120(c), a delivery service licensee shall pay a fee based on the total number of delivery service employees or independent contractors used by the delivery service licensee to deliver HDCPs. The fee schedule is as follows:

- (1) 0-15 delivery drivers.....\$50
- (2) 16-30 delivery drivers.....\$100
- (3) 31-45 delivery drivers.....\$150
- (4) 46-60 delivery drivers.....\$200
- (5) 61-100 delivery drivers.....\$250
- (6) 101-150 delivery drivers.....\$300
- (7) 151-200 delivery drivers.....\$350

(8) For each additional fifty (50) delivery drivers over two hundred (200) an additional fifty dollars (\$50.00), up to a maximum fee of one thousand dollars (\$1,000).

(f) A delivery service licensee may be subject to fines or the suspension or revocation of its license by the commission based on a delivery driver violating this chapter. A retailer is not subject to a fine or the suspension or revocation of its license based on conduct of a delivery service driver after the driver picks up or receives a hemp-derived cannabinoid product from the retailer.

(g) Beginning January 15, 2028, and by each January 15 thereafter, a licensed delivery service is required to submit a report detailing the number of delivery drivers used by the delivery service to deliver hemp-derived cannabinoid products in the prior calendar year. Each delivery service licensee shall maintain for each delivery driver covered by the licensee's delivery service license, records sufficient to verify the identity of each delivery driver, a copy of the driver license for each delivery driver, and a copy of the background check conducted for that delivery driver pursuant to subsection (b).

SECTION 6. The commission shall promulgate rules to effectuate this act, including, but not limited to, rules for the duration and renewal of licenses issued pursuant to this act.

SECTION 7. This act takes effect upon becoming a law, the public welfare requiring it.